

Bajaj Auto Ltd

BAJAJ-AUTO · Consumer Discretionary / Two Wheelers

ROE

26.61%

ROCE

32.71%

Net Profit Margin

17.18%

D/E

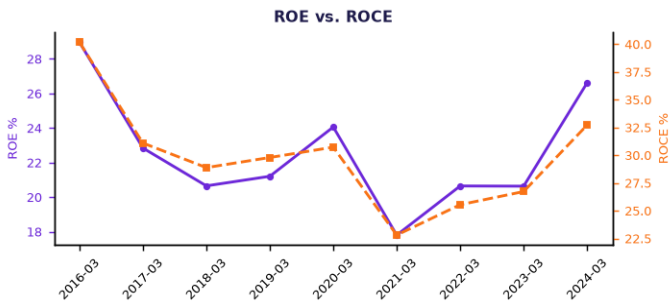
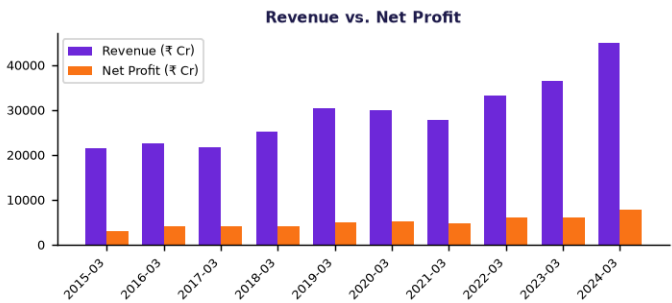
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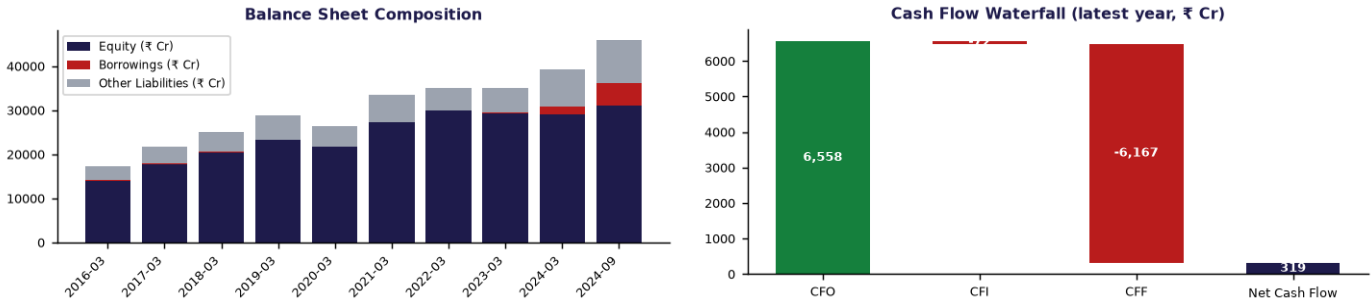
Revenue CAGR 5yr

8.13%

FCF (Rs. Cr)

6,486





Pros

- ✓ Very high interest coverage ratio reflects negligible financial stress from debt servicing (95% confidence)
- ✓ Consistent dividend yield above 2% backed by positive free cash flow (81% confidence)
- ✓ Strong free cash flow generation over 5 years signals healthy business fundamentals (80% confidence)
- ✓ Consistently high return on equity above 20% demonstrates exceptional capital efficiency (67% confidence)
- ✓ Revenue growing slower than profits shows improving operating leverage and scale benefits (65% confidence)

Cons

- ✗ Rising debt-to-equity ratio over 3 years suggests increasing financial leverage risk (67% confidence)

Capital Allocation Pattern: **Reinvestor**